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Revenue Multiples Are The Most Dangerous Metric in M&A

SWIPE TO SEE WHY ›

Same revenue. One worth $450K. The other $1.6M.

"

My business does $2M in revenue. Companies like mine sell for 1x.

So it's worth $2M.

That math killed every one of those deals.

$600K owner comp + one client at 35% is a different asset than 22% margins and 400 clients.

• Here's the proof ›

SAME REVENUE. DIFFERENT REALITY.

Both companies: $2M revenue

BUSINESS A "The Trap"	BUSINESS B "The Asset"
Owner Comp	Owner Comp
$600K	$200K
Margins	Margins
8%	22%
Top Client	Top Client
35%	4%
Clients	Clients
~12	~400
Trend	Trend
Flat	+15%
VALUE	VALUE
$450K	$1.6M

Same revenue. 3.5x difference in value.

WHAT MATTERS

The 3 Things That Actually Drive Value

01

Adjusted SDE

Every add-back identified from actual returns. Not estimated.

02

Quality of Earnings

Concentration, dependency, margin trend, sustainability.

03

Buyer Landscape

Who's buying in your sector right now — and what they're paying.

Adjusted SDE

Blind Equity™

The hidden value in your books you didn't know was there.

Real example — cleaning company:

Personal vehicles	**$48K**
Spouse on payroll	**$24K**
Above-market rent	**$31K**
One-time equipment	**$18K**
Cell & internet	**$3K**
Total Blind Equity	**$124K**

At 3.2x, that's $400K in hidden value.

Quality of Earnings

- **Concentration**
  One client holds the keys?
- **Dependency**
  Runs without you?
- **Margins**
  Creeping or compressing?
- **Recurring?**
  Recurring earns the premium.

Buyer Landscape

Who is actively acquiring in your sector — and what are they paying.

> **Value isn't what a spreadsheet says.**
> **It's what the market clears.**

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Revenue tells you the size.
It tells you almost nothing about the value.

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Am I wrong?

Where does it break down for you?

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